



Nigeria Trade Opportunity Report

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INTRODUCTION

It is an open fact that about 85% of Africa's merchandise are exported to other continents (African Union, 2018). Despite this fact, Africa's share in the global trade remains negligible at only 2.7% while the developing Asian region shares about 34% of global merchandise (UNCTAD, 2019). Not only is Africa's share of global trade negligible but Africa's share is also dominated by just a few countries (60% of this trade come from 5 countries - UNCTAD data 2014 – 2017). This brings to fore that besides the low intra-African trade, the majority of countries on the continent are marginal players in international trade. Literature presents mixed evidence on the benefits of economic integration, such as the Africa Continental Free Trade Agreement (AfCFTA). We however align with the suggestion that the AfCFTA has the potential to raise intra-Africa trade by about 19% (Geda and Yimer 2019).

This report utilises the SCI-TRADE tools designed by CcHUB which leveraged Facebook Social Connectedness Index data and other trade data to explain intra-African trade opportunities. We construct a pairwise Product Opportunity Index (POPI) using people and products' factors (Social Connectedness and Export-Import intersection respectively) for every exportable product possible between African countries (1,210 commodities). Our index is used to rank and recommend top countries a particular country with respect to a particular commodity should consider exporting to under the AfCFTA trading terms.

Our report on Nigeria focuses on the top 5 non-industrial exportable products or commodities with little or no barrier to entry (using 2019 data). We highlight opportunities within African countries for 5 commodities vis-à-vis, Pasta, Soups and Broths, Rubber, Bran and Starch Residue, though the country has the capacity to export not less than 998 products. Using the POPI, we highlight 5 top African countries for each commodity. Focusing on new opportunities or ease of doing business that AfCFTA will bring, we select the top 5 countries outside the regional economic area (West Africa). We however identify all countries within the threshold of the recommended top 5 by identifying countries within the region also that Nigeria can commercially export the products to. But to take advantage of opportunities brought about by AfCFTA, we focus on the top 5 countries for the product outside the Region.

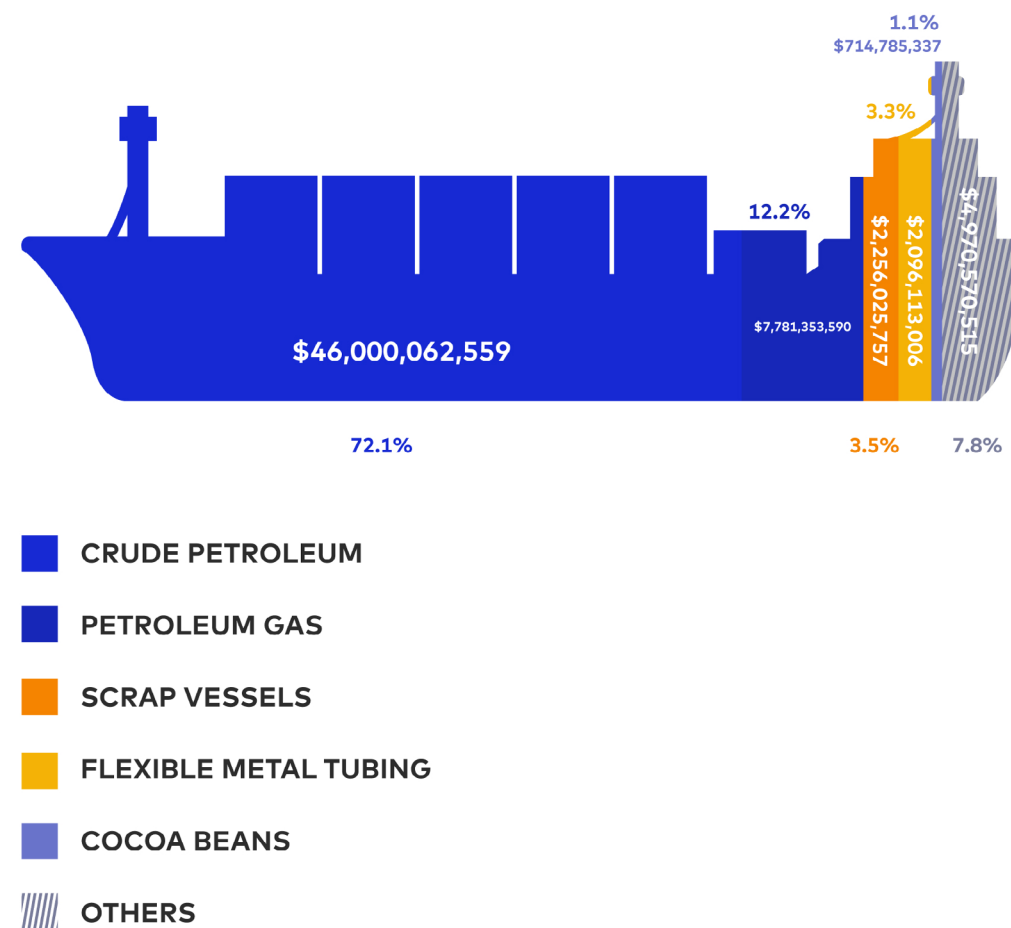
1 The SCI-Trade platform (<https://www.scitrade.africa/>) further provides enquiry opportunities based on country or based on commodity.



01 WHAT DOES NIGERIA EXPORT GLOBALLY?

The economy of Nigeria is ranked the 25th and the largest economy in terms of nominal Gross Domestic Product (GDP) in the world and in Africa respectively. The country's total export of about \$64 billion in 2019 made it the number 47 in the world in terms of export². Despite the fact that the agricultural sector employs over 30% of the Nigerian workforce, the country's exports are however dominated by the petroleum sector which constitutes over 84% (72.1% crude petroleum and 12.2% petroleum gas) of exports and were mostly exported to non-African countries, as only 4 countries import about 50% of Nigerian petroleum (India, Spain, USA, and France) in 2019. Nigeria's top 5 commodities exported globally are Crude Petroleum, Petroleum Gas, Scrap Vessels, Flexible Metal Tubing and Cocoa Beans [FIG 1]. The monolithic nature of Nigerian global export is reflected in the fact that the fifth top item (Cocoa Beans) constitutes only 1.12% of Nigerian exports.

FIG 1: What Nigeria exports globally³



² OEC Data (last accessed in April 2021) - <https://oec.world/en/profile/country/nga#top>

³ https://oec.world/en/visualize/tree_map/hs92/export/nga/all/show/2018/

02 NIGERIA'S CURRENT INTRA-AFRICA TRADE

Like every other African country, the country's intra-African trade is considered significantly low. Nigeria's export of crude oil to African countries is less than 14% of its global export. Recent data shows that the third item on Nigeria's global export (Scrap Vessels) was mostly exported to African countries but not only was the trade proportion insignificant (3.54%), over 85% of the exports were to only 3 African countries (Ghana, 45.5%; Angola, 25.1% and Cameroon, 14.7%). The country's leading trading partner in recent years has been South Africa in Africa which takes 7.86% of petroleum export from Nigeria, translating to about 31% of Nigeria's total trade within Africa. This low intra African trade hides the fact that Nigeria has competitive advantage in producing products such as Sesame Seeds, Cashew Nuts, Cashew Apples, Sorghum, Soya Beans, Shea Butter, Ginger, Tea, Turmeric, Limestone, Zinc and others. The commencement of trading on Africa Continental Free Trade Agreement in January 2021 therefore opens up a new market for Nigeria to produce to other African countries.

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FIG 2: Top 5 commodities using export value but with no barrier to market entry



SIX MODULES

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PASTA

BRAN

SOUPS AND BROTHS

STARCH RESIDUE

RUBBER